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Investor Presentation | Japan

Semiconductor Production Equipment:
Tech Monthly May 2026

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SEMICONDUCTOR PRODUCTION EQUIPMENT

Japan

Industry View

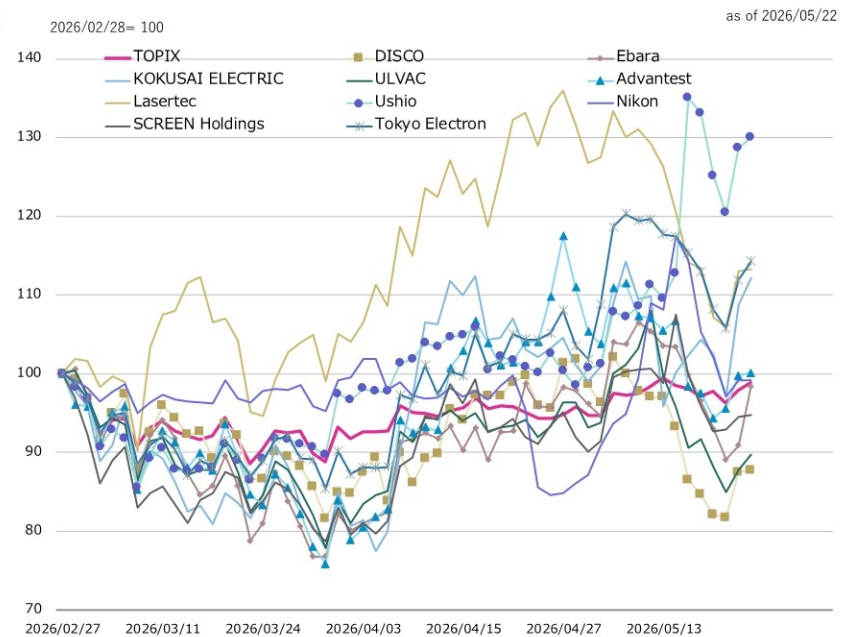
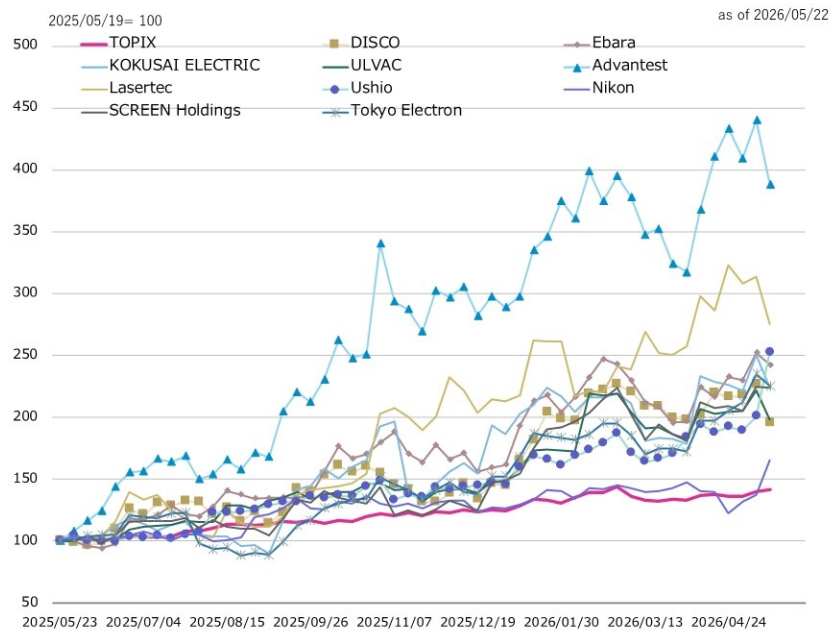
Attractive

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Stock Price Performance



Source: FactSet data, Morgan Stanley Research

Stock performance and valuation

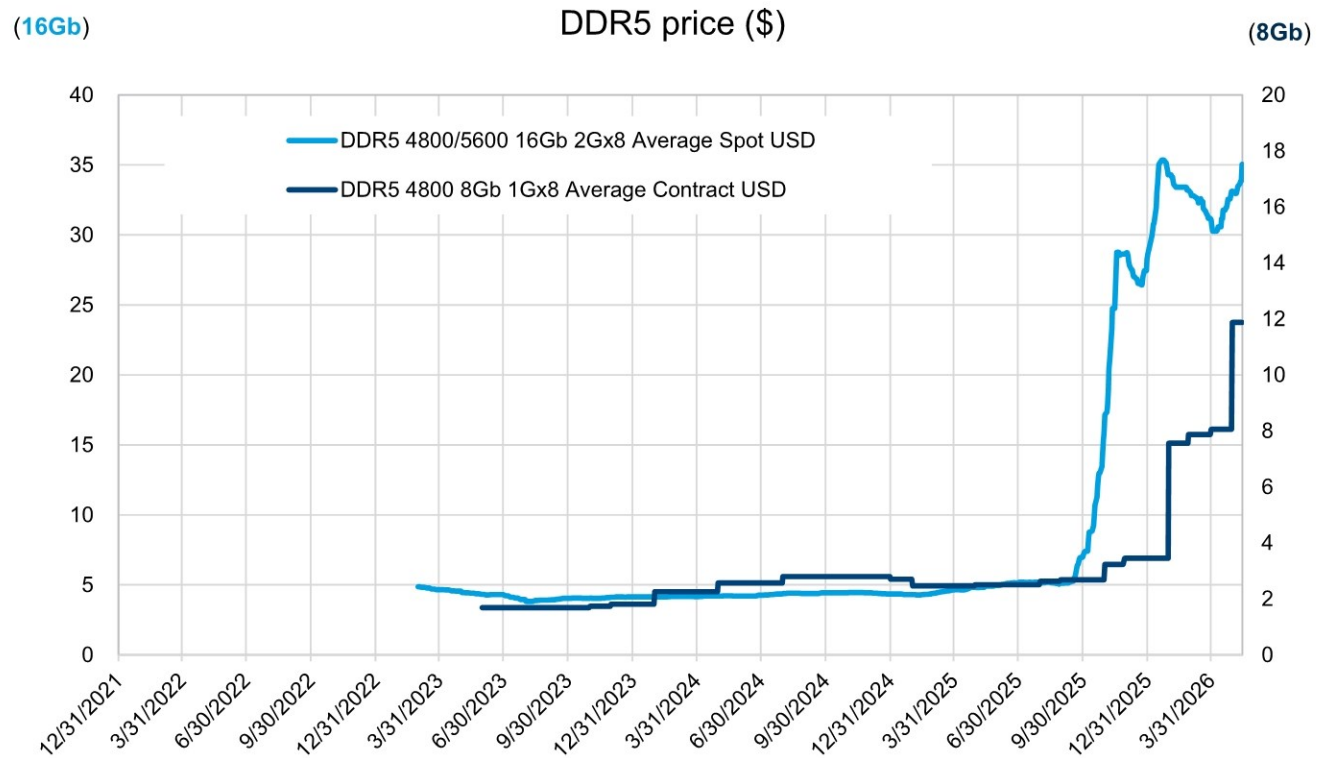
			Share price							Valuation											
			(LC)		(LC) Performance					Cons PE (x)			Cons EV/EBITDA (x)			Cons PBR (x)		Cons Div. yield			
			Last close	MS PT	YTD	3m	1m	11/20 ~	F1	F2	F3	F1	F2	F3	F1	F2	F3	F1	F2	F3	
6146 JP	DISCO	65,860	77,500	36.7%	-11.1%	-12.0%	39.3%	40.1	33.4	29.9	26.2	21.8	19.8	10.4	8.7	7.8	1.0%	1.2%	1.7%		
7729 JP	Tokyo Seimitsu	16,915	18,000	52.3%	0.1%	1.6%	56.1%	24.0	20.4	18.1	14.2	12.3	10.8	3.3	3.0	2.7	1.7%	2.0%	2.3%		
6315 JP	Towa	2,893	2,600	34.6%	-0.6%	11.4%	14.8%	25.3	20.6	16.8	13.6	11.6	8.9	3.0	2.7	2.3	0.8%	0.9%	1.2%		
6857 JP	Advantest	26,845	30,000	36.7%	5.4%	-3.8%	28.8%	38.8	31.0	28.4	26.8	21.5	21.0	17.8	12.6	10.5	0.4%	0.5%	0.6%		
TER US	Teradyne	358	387	85.2%	10.3%	-6.9%	129.9%	49.1	36.3	26.9	36.9	28.2	22.0	15.9	12.5	9.4	0.1%	0.1%	0.2%		
8035 JP	Tokyo Electron	49,830	49,000	45.2%	13.4%	9.5%	53.3%	33.2	26.6	23.3	22.6	18.2	16.5	9.3	7.9	7.1	1.5%	1.9%	2.2%		
7735 JP	SCREEN Holdings	10,765	14,200	41.3%	-2.0%	3.2%	66.1%	18.0	15.2	14.2	10.5	9.0	8.3	3.8	3.3	2.9	1.7%	2.1%	2.4%		
6525 JP	Kokusai Electric	7,221	6,500	31.4%	13.3%	8.8%	71.1%	37.1	NA	22.2	21.5	16.8	14.5	6.9	5.9	5.2	0.7%	1.0%	1.3%		
6361 JP	Ebara	5,452	5,800	48.0%	-3.3%	-0.3%	41.2%	26.0	22.2	18.9	15.1	12.9	11.3	4.4	3.9	3.4	1.3%	1.6%	1.8%		
6920 JP	Lasertec	38,130	15,600	28.6%	24.4%	-14.9%	36.4%	44.9	36.4	29.7	30.0	24.3	20.1	13.8	11.2	9.0	0.8%	1.0%	1.2%		
6951 JP	JEOL	6,600	5,200	31.2%	1.6%	2.1%	42.1%	15.0	13.1	11.8	9.4	8.1	7.7	2.0	1.8	NA	1.9%	2.3%	2.5%		
6925 JP	Ushio	4,081	3,100	62.9%	32.3%	28.9%	75.6%	32.8	25.0	NA	15.4	12.9	NA	1.8	1.8	NA	1.7%	2.0%	NA		
6728 JP	ULVAC	9,396	8,100	32.7%	-9.7%	-4.8%	40.7%	24.6	19.0	15.7	11.1	8.7	7.5	2.0	1.8	1.7	1.7%	1.9%	2.3%		
7731 JP	Nikon	1,965	1,100	12.6%	0.0%	3.9%	13.2%	39.2	24.6	24.8	12.6	10.1	9.1	1.1	1.1	1.1	1.7%	1.9%	1.8%		
AMAT US	Applied Materials	432	502	68.2%	15.1%	7.1%	96.2%	35.5	26.7	22.1	30.3	22.3	18.6	12.9	10.4	8.3	0.4%	0.5%	0.5%		
LRCX US	Lam Research	305	331	78.4%	24.7%	15.0%	118.7%	53.8	38.4	31.9	44.5	31.6	26.8	33.2	22.3	15.6	0.3%	0.4%	0.4%		
KLAC US	KLA	1,888	1,900	55.4%	26.2%	4.2%	71.3%	51.0	37.6	31.4	40.8	30.9	26.2	42.7	33.5	24.9	0.4%	0.5%	0.6%		
285A JP	Kioxia Holdings	57,400	70,000	450.1%	179.2%	64.9%	406.4%	7.7	6.7	5.4	5.3	4.7	4.3	6.4	3.5	2.2	0.4%	0.4%	0.6%		
429A JP	Tekscend	4,065	3,500	34.2%	38.0%	8.3%	29.9%	16.4	14.8	13.0	6.8	5.7	5.4	2.2	2.0	1.7	1.8%	2.0%	2.3%		
PLAB US	Photronics	51	NA	60.8%	35.4%	2.8%	153.7%	22.8	21.3	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA		

Note: Data as of May 22; Closing prices and price targets in Japanese yen except for Teradyne, Applied Materials, Lam Research, KLA, and Photronics, which are in US dollars;

NA = No data found on FactSet/Morgan Stanley Research. Photronics is not covered.

Source: FactSet, Morgan Stanley Research; Cons = based on FactSet Consensus

DDR5 price trends



Source: FactSet, Morgan Stanley Research

Results Overview

		Release date		Q actual (LCbn)		vs Cons		Price return	
		(local time)	result	Sales	OP	Sales	OP	(vs Index)	
JP	Disco	04/22/2026	DecQ	133.06	58.53	+27%	+32%	⇒	-3%
JP	Advantest	04/27/2026	DecQ	328.07	153.56	+25%	+42%	↓	-7%
JP	Tokyo Electron	04/30/2026	DecQ	711.82	205.64	+13%	+30%	↑	+7%
JP	Kokusai Electric	05/13/2026	DecQ	62.02	9.49	+11%	-3%	↓	-14%
JP	SCREEN Holdings	05/13/2026	DecQ	180.40	45.08	+30%	+104%	↑	+10%
JP	Ebara	05/15/2026	DecQ	246.31	26.46	+15%	+36%	⇒	-2%
JP	Lasertec	04/30/2026	DecQ	41.28	15.20	-24%	-43%	⇒	+1%
JP	Ulvac	05/12/2026	DecQ	67.74	6.26	+28%	+174%	↓	-9%
JP	Ushio	05/14/2026	DecQ	52.26	4.22	+21%	+39%	↑	+20%
JP	Nikon	05/08/2026	DecQ	193.26	1.09	+25%	NA	⇒	+4%
JP	JEOL	05/15/2026	DecQ	49.55	4.62	+18%	-25%	↓	-6%
JP	Tekscend	05/13/2026	DecQ	33.34	7.64	NA	NA	↓	-7%
NL	ASML	04/15/2026	DecQ	8.77	3.16	-10%	-8%	⇒	-4%
US	Lam Research	04/22/2026	DecQ	5.84	2.05	+10%	+10%	⇒	-2%
US	Applied Materials	05/14/2026	JanQ	7.91	2.52	+16%	+30%	⇒	+0%
US	KLA Tencor	04/29/2026	DecQ	3.41	1.39	+6%	+1%	↓	-5%
US	Teradyne	04/28/2026	DecQ	1.28	0.48	+67%	+204%	↓	-5%

Note: Price return is the index-relative 1-day return after earnings announcements (vs. TOPIX for Japan; vs S&P 500 for US and vs Netherlands AEX for ASML)
Source: FactSet, Morgan Stanley Research; Cons = FactSet consensus as of earnings release date

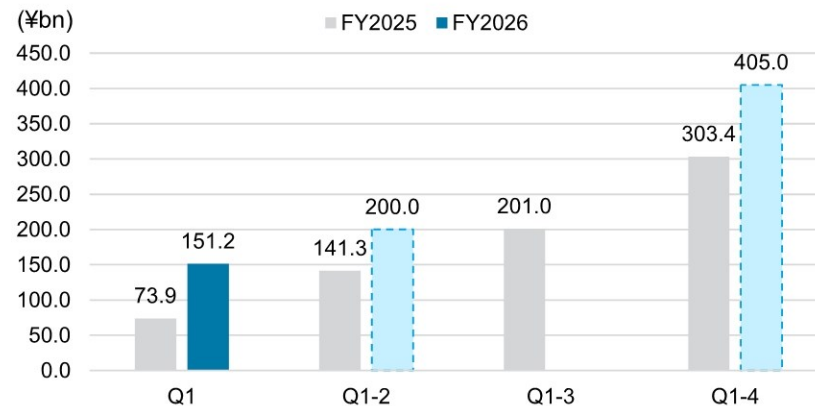
F3/27 Guidance from Major Front-end Companies

Sales/Operating income guidance of TEL/KOKUSAI/SCREEN

Guidance (¥bn)	Net Sales						Operating profits		
	H1	y-y	HoH	H2	y-y	HoH	H1	Cons	gap
8035 Tokyo Electron	1,570.0	33%	26%	NA	NA	NA	431.0	393.0	+10%
6525 Kokusai Electric	152.3	30%	29%	127.7	8%	-16%	32.5	26.0	+25%
7735 SCREEN Holdings	317.0	16%	-4%	408.0	23%	29%	56.0	61.3	-9%

Source: Company data, Morgan Stanley Research

Ebara's actual/guidance order numbers for Precision Machinery segment



Note: FY2026 Q1-2 and Q1-4 numbers are based on the company's guidance

Source: Company data, Morgan Stanley Research

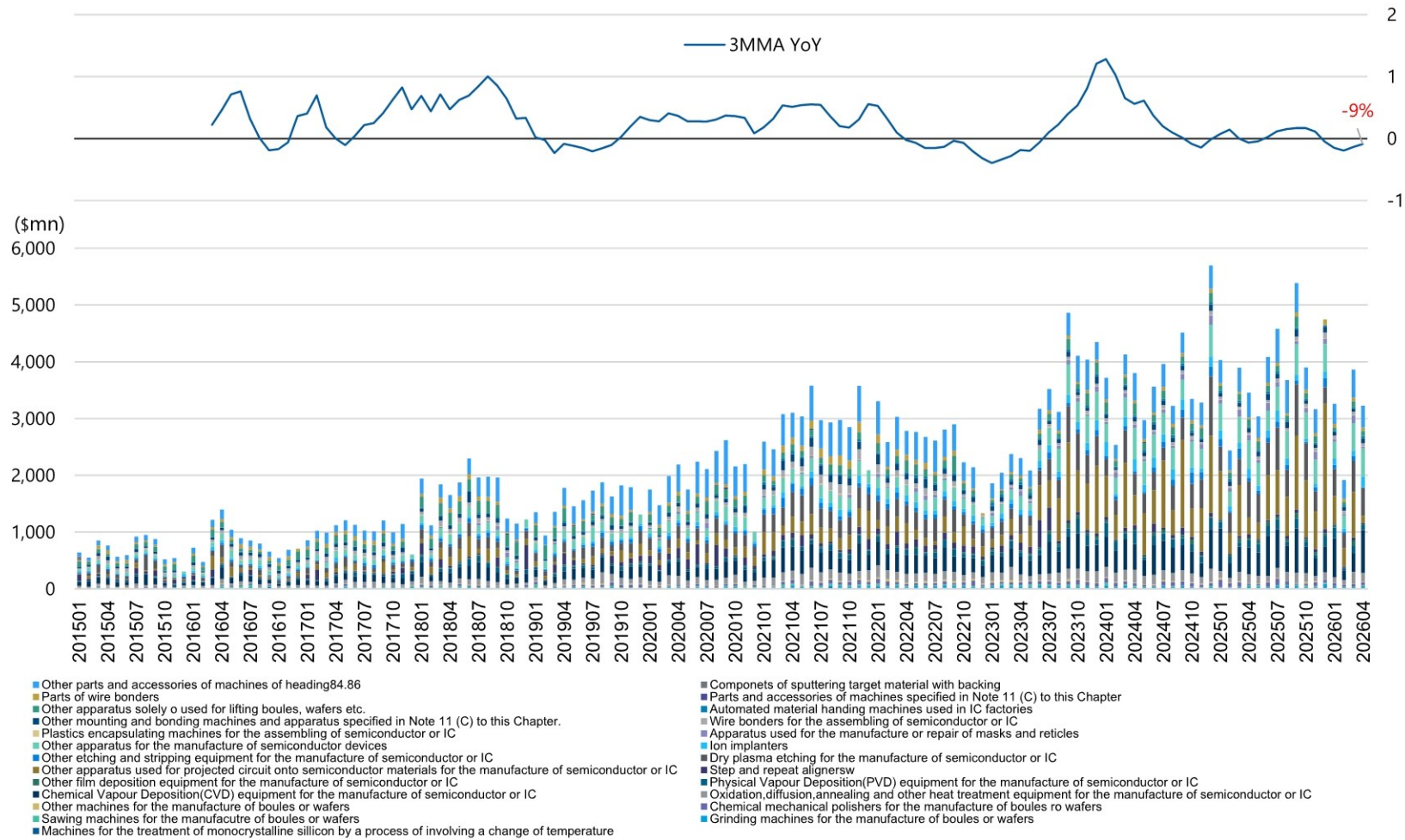
CY26 WFE market outlook by major SPE companies as of the Mar Q earnings season

YoY	Tokyo Electron	Kokusai Electric	SCREEN HD	Lam Research	KLA
WFE outlook	up >= +20%	up +15%	up +15 ~ 20%	up +27%	up Mid/High teen
DRAM	up >= +30%	up +25 ~ 30%	up +20%- ~ +25%	-	-
NAND	up +40%	up +15%	up close to +15%	-	-
Logic/Foundry	up +10 ~ 15%	up +5 ~ 10%	up > +20 ~ 25%	-	-
China	close to up 20%	down 5%	Flattish	Flat ~ slightly up	flat ~ slightly up

Prev. Q WFE outlook	up >= +15%	up +10%	up +10 ~ 20%	up +23%	up HSD ~ LDD
DRAM	up >= +20%	up +20%	up > +20%	-	up +15 ~ 20%
NAND	flat ~ slightly up	up +15%	-	-	lower than DRAM
Logic/Foundry	up +15 ~ 20%	up +3%	up > +20%	-	up +10 ~ 15%
China	Flat	down 5%	-	Flattish	flat ~ slightly up

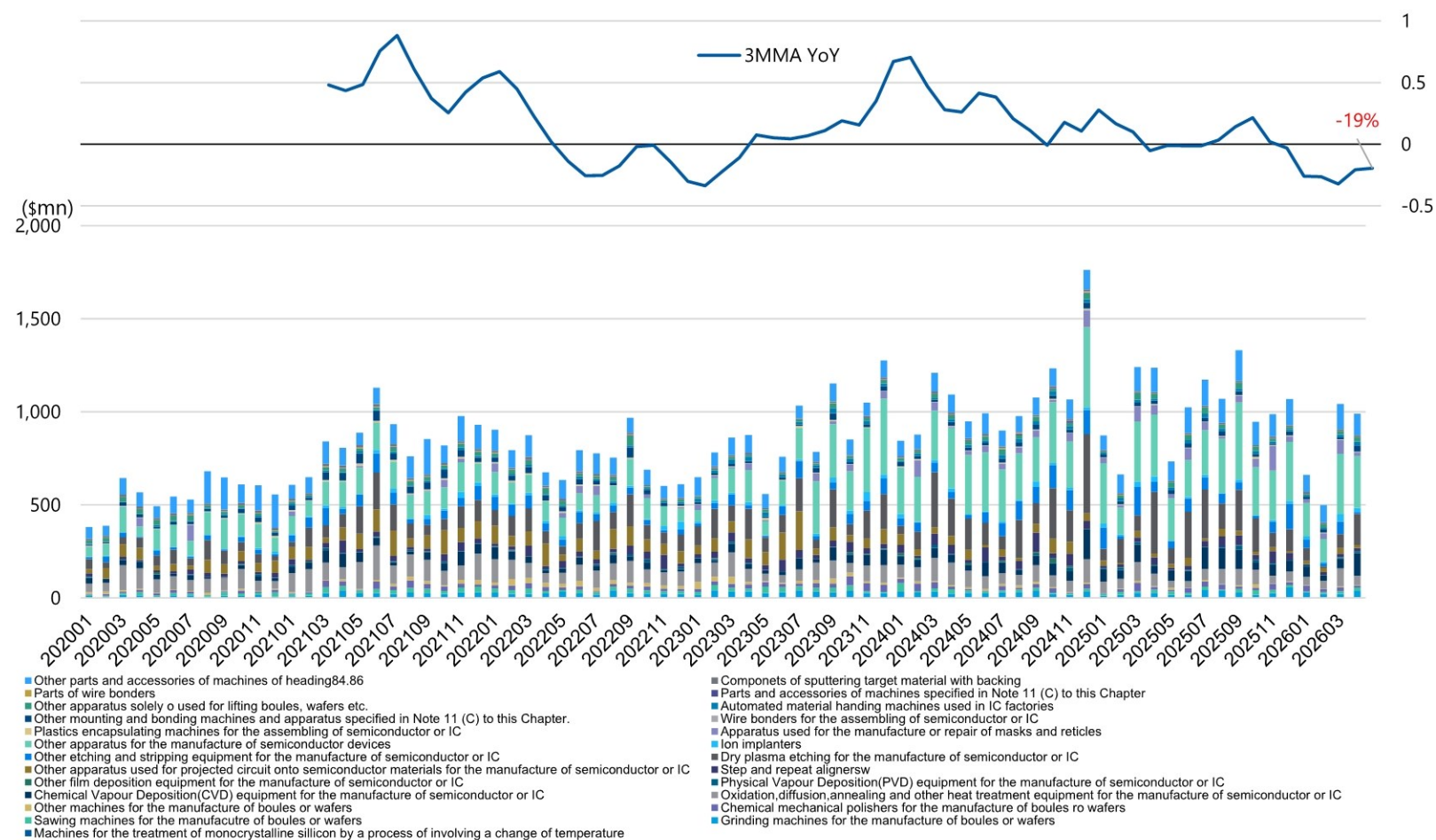
Source: Company comments, Morgan Stanley Research

China monthly SPE import data: Apr -9% YoY, 3MMA



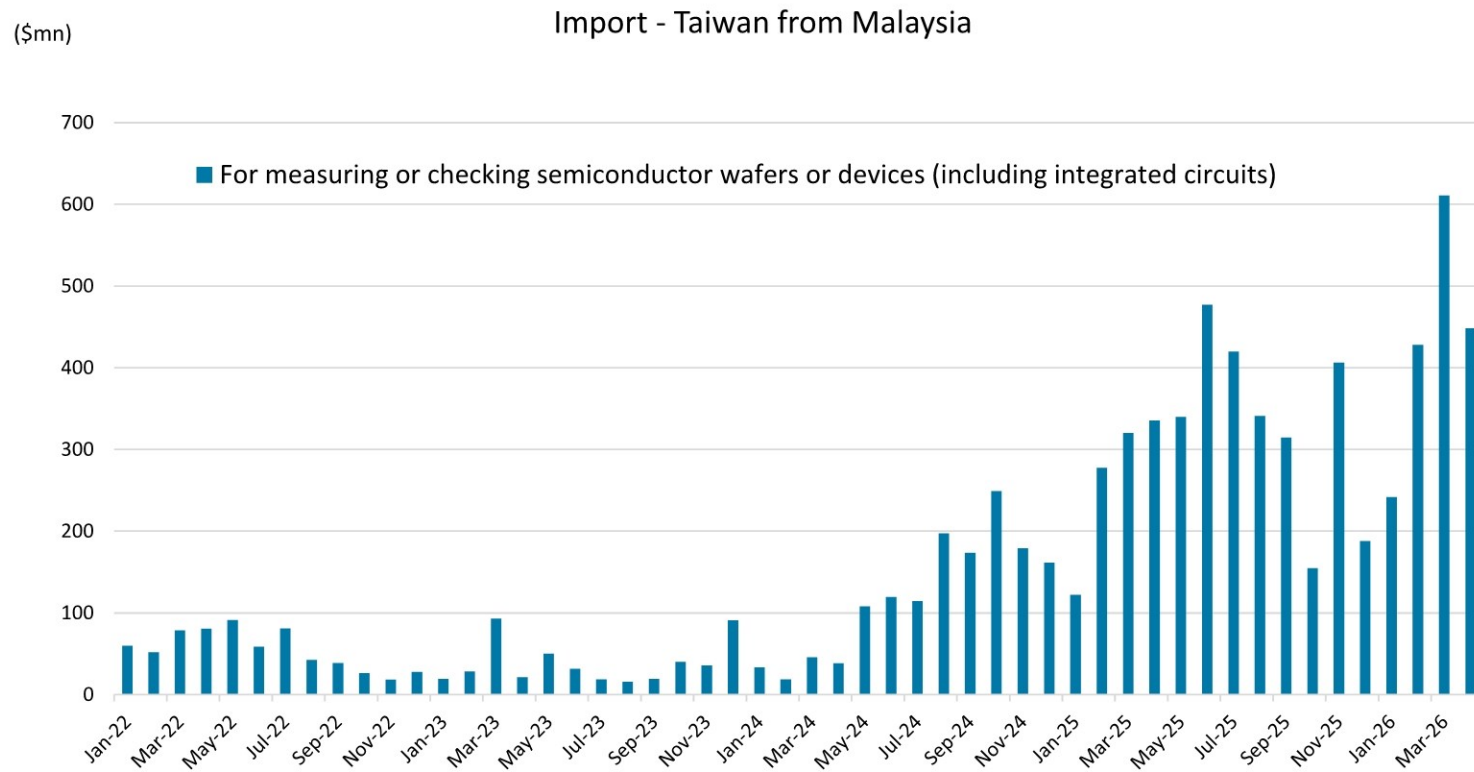
Source: General Administration of Customs of the People's Republic of China, Morgan Stanley Research

China monthly SPE imports from Japan: Apr -19% YoY, 3MMA



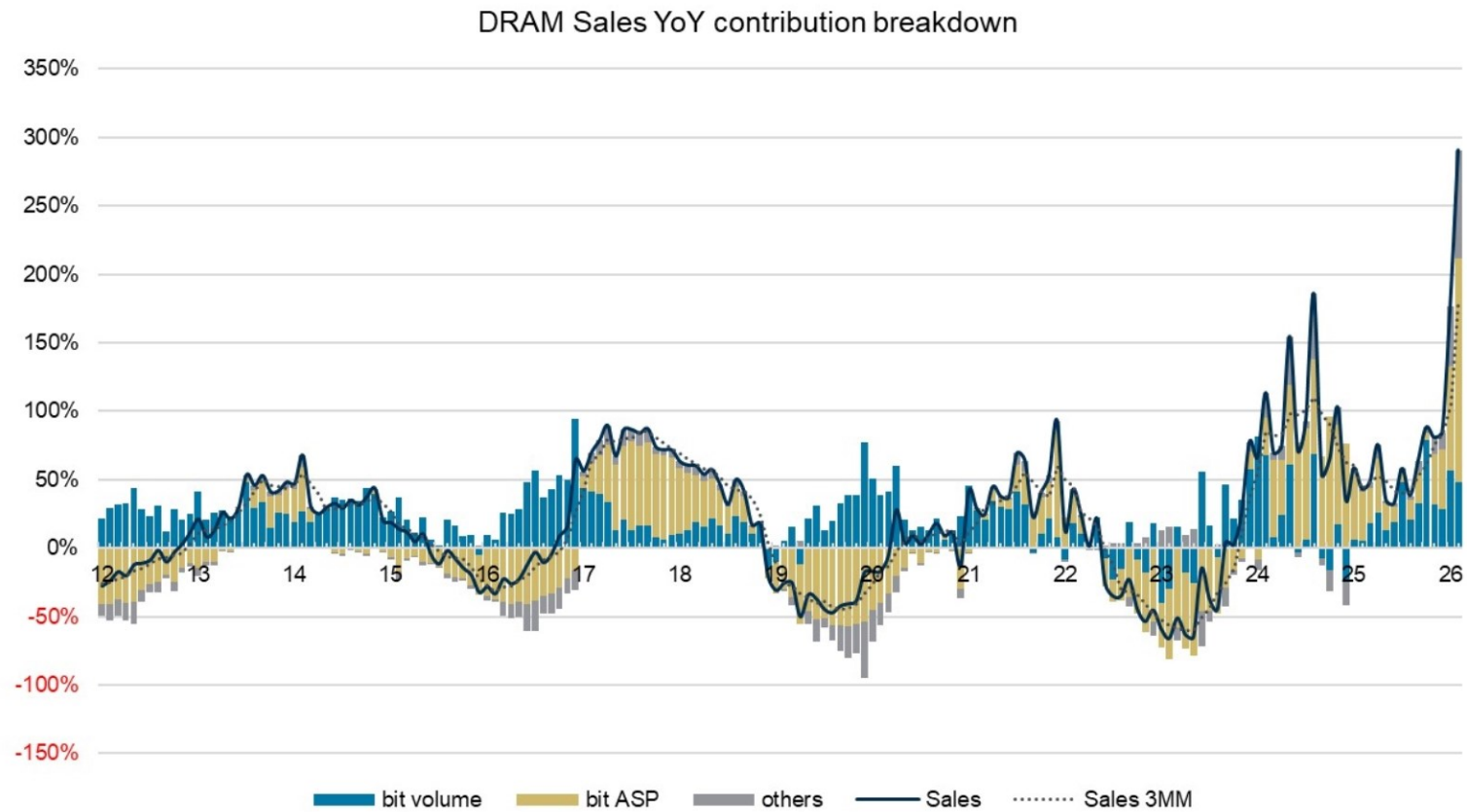
Source: General Administration of Customs of the People's Republic of China, Morgan Stanley Research

Taiwan test-related equipment imports from Malaysia



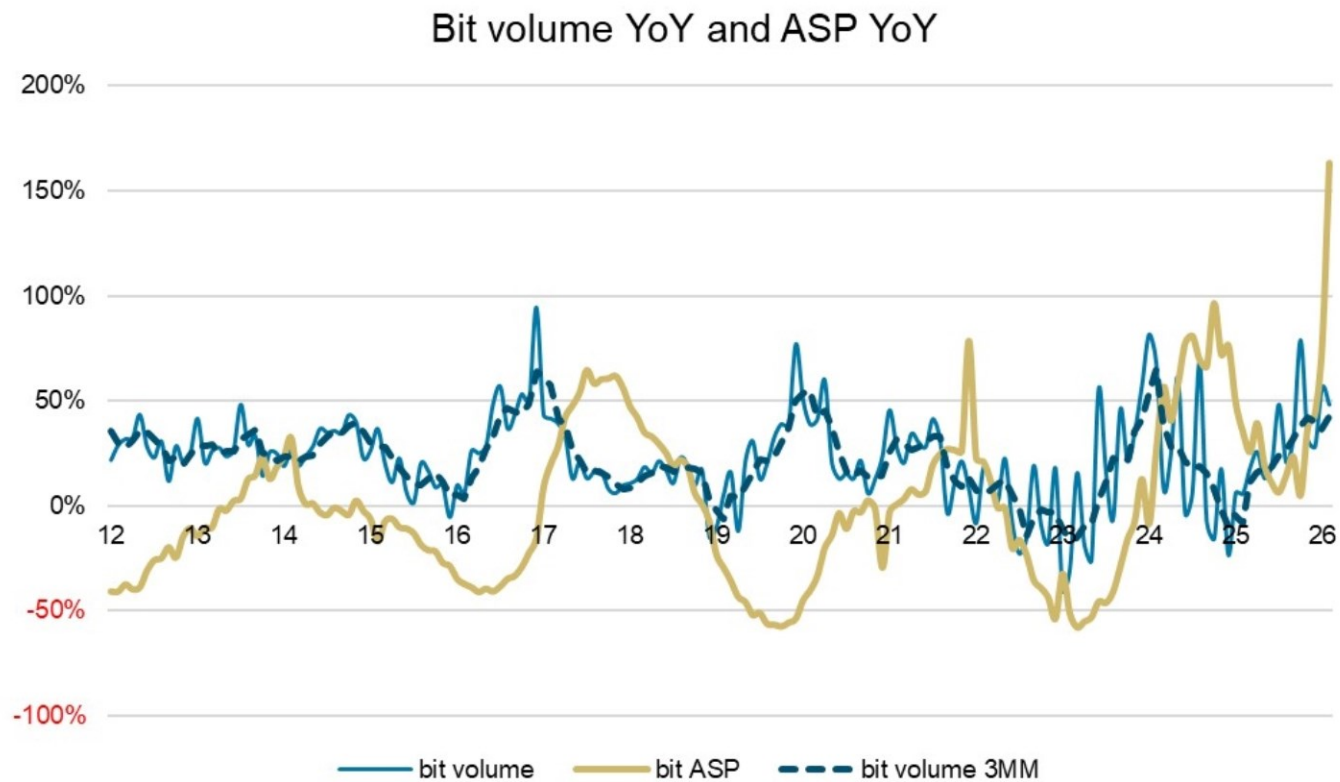
Source: Ministry of Economic Affairs, R.O.C., Morgan Stanley Research

DRAM YoY growth



Source: WSTS, Morgan Stanley Research

DRAM bit shipment and ASP YoY growth



Source: WSTS, Morgan Stanley Research

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: Semiconductor Production Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/22/2026)
Suzune Tamura, CFA		
Advantest (6857.T)	O (01/17/2024)	¥26,845
DISCO (6146.T)	O (07/07/2023)	¥65,860
Ebara (6361.T)	O (12/04/2024)	¥5,452
JEOL (6951.T)	E (07/08/2025)	¥6,600
KOKUSAI ELECTRIC (6525.T)	O (12/19/2025)	¥7,221
Lasertec (6920.T)	U (07/28/2025)	¥38,130
Nikon (7731.T)	U (08/08/2023)	¥1,965
SCREEN Holdings (7735.T)	O (11/13/2025)	¥10,765
Tekscend Photomask (429A.T)	E (11/18/2025)	¥4,065

Tokyo Electron (8035.T)	O (12/19/2025)	¥49,830
Ulvac (6728.T)	E (01/17/2024)	¥9,396
Ushio (6925.T)	O (01/05/2026)	¥4,081

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* Historical prices are not split adjusted.

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